



SOFTWARE

FLASH NOTE

Neoclouds: SpaceX read-across. Compute (and GPU) scarcity risks and opportunities

5 AUGUST 2026 Securities Research Report Production time: 10:18* (London time)

Research Analyst & Publishing Entities

Stefan Slowinski BNP Paribas London Branch (+44) 203 430 8549 stefan.slowinski@uk.bnpparibas.com

What happened?

SpaceX's (not covered) Q2'26 results provided investors with a detailed look at the company's AI infrastructure roadmap. We believe management's commentary around AI capacity expansion and cloud monetization carries broader implications for the AI infrastructure ecosystem, including for our Neocloud coverage of Coreweave, and Nebius, as well as large Nvidia customers Microsoft and Oracle. Below, we look at the results, and SpaceX emerging as both an AI lab as well as a compute provide, in the context of our recent sector report: [The OpenAI \(and Anthropic\) Effect: AI Infrastructure Impact](#).

Rising risks as SpaceX cozies up to Nvidia? While Meta seemed to downplay a major entrance into selling compute with a preference for selling intelligence rather than pure compute (which was a relief for the neoclouds at the time), SpaceX appears to be more aggressively targeting the compute market. This may create more fears of increasing competition for AI workloads for Neoclouds, while also creating fears of crowding out in terms of GPU allocation from Nvidia (see our analysis below), especially considering SpaceX's forceful statements about Nvidia exclusivity and about receiving a high percentage of Nvidia's Vera Rubin systems next year. That said, as the company continues to train future iterations of Grok, more SpaceX capacity may be allocated to training Grok (~10% of capacity) but also servicing growing enterprise usage (i.e. inference) of Grok, and thus not available to rent as pure compute. SpaceX highlighted that Grok 5, to be launched by year end, will have been trained on 25 years of SpaceX data, potentially making Grok the best model for engineering use, and intensifying direct competition with Anthropic and OpenAI.

Rising opportunity as pricing to remain elevated? On the positive side, SpaceX was quite confident that premium pricing for compute can continue as 1) demand outstrips supply, and 2) as models become more efficient and therefore can be more performant for less compute, making each GPU capable of even more valuable work. SpaceX's argument that one single H100 can become capable of delivering as much intelligence as one human engineer is in-line with the recent commentary from industry expert Dwarkesh Patel arguing that compute may actually get 10x more expensive next year. SpaceX suggested that maintaining \$30bn+ revenue per GW was sustainable near term, with a pay back on datacenter investments in less than one year. This could help significantly improve returns for Neoclouds if they are able to capture this pricing effect. Currently, we only assume revenue per GW expands from ~\$10bn/GW to \$15bn by 2030.

Below, we further highlight our key takeaways from the call, and the implications for Neocloud coverage.

BNPP View:

With SpaceX having reported its first quarter as a public company, Elon Musk laid out an ambitious infrastructure roadmap, targeting an expansion of the company's AI compute footprint from ~2 GW exiting CY26 to 'closer to 10 GW than 5 GW' by the end of CY27. Combined with SpaceX's repeated emphasis on its relationship with NVIDIA, **we are**

beginning to wonder whether GPU availability could once again emerge as a key constraint on AI infrastructure deployments over the next 12 – 18 months, creating risks but also opportunities.

In an attempt to frame the potential magnitude of demand, and thus the risk of capacity constraints, we constructed a high-level capacity exercise. Note, these calculations are not intended to be precise forecasts, but rather a directional illustration of how aggregate AI infrastructure buildouts compare with current NVIDIA expectations. Broadly, we assume Microsoft and Oracle continue adding ~1 GW of capacity per quarter, while Amazon and Alphabet deploy at least at a similar pace. We also interpret Elon Musk’s earnings call comments as implying SpaceX could exit CY27 with roughly 8 GW of active power (+6 GW vs. CY26), especially in the context of management’s ambition to bring 15-20 GW of power and cooling by the end of 2027. And layering in Meta’s reported plans to expand to ~14 GW of capacity ([as reported by Reuters](#)), alongside ~1 GW additions from both CoreWeave and Nebius, **this suggests these eight players alone could account for 30 GW+ of incremental AI capacity in CY27**. Given some hyperscaler capacity may be allocated to CPU cloud, AMD or even Trainium / TPU’s, we haircut NVIDIA’s share of capacity additions by 50% for Meta, Alphabet, and Amazon, resulting in 22+ GW of capacity requirements from Nvidia in 2027 from these 8 cloud providers alone.

At a high level, this exercise highlights a potential disconnect between infrastructure ambitions and NVIDIA’s potential capacity to fulfil these obligations. Assuming NVIDIA monetizes incremental deployments at ~\$30bn / GW, current Nvidia consensus revenue expectations for 2027 (i.e. FY’28) would imply delivery of ~19 GW of capacity in 2027, ~17% below the calculated demand from the 8 compute providers. And we note, our framework could also be underestimating the true demand for NVIDIA GPUs as 1) next-generation NVIDIA Vera Rubin systems likely command materially higher pricing, and 2) our analysis only captures a subset of the AI infrastructure landscape and excludes demand from 1P AI lab deployments, AI inference specialists, and other neocloud providers.

While this is a very rough exercise, **we do believe the growing SpaceX demand raises the possibility that GPU supply could once again become constrained as infrastructure deployments accelerate into 2027**. While this may create a risk for compute providers without strategic partnerships with Nvidia, we believe customers with privileged access to NVIDIA hardware (or those that can deploy their own custom silicon at scale) stand to benefit disproportionately. Within our coverage, we continue to view CoreWeave, Nebius, and Oracle amongst the primary beneficiaries given their strategic relationships with NVIDIA, which we believe positions them favorably to receive meaningful allocations should the market tighten once again, but there is also risk of getting crowded out by the SpaceX build in the event that Nvidia prioritizes this growing relationship.

Along a similar vein, **we believe SpaceX’s commentary further reinforces that the AI compute shortage is unlikely to ease, even through 2027**. SpaceX management indicated that memory output is increasingly by ~20% per year, while underlying AI demand is growing 200%+, implying that supply growth continues to significantly lag demand. If even directionally accurate, **this would suggest that the current favorable pricing environment is unlikely to normalize any time soon**. Perhaps more importantly, Elon Musk mused that Vera Rubin based systems could ultimately monetize at \$30 – 50bn per GW, substantially higher than earlier industry assumptions of ~\$15bn / GW. While these monetization figures remain speculative, **we believe they reinforce the significant economic value in renting GPUs in this current environment**, with SpaceX reporting a ‘less than 1 year payback on its new capital deployments for compute.’ **In our view, this further strengthens the positioning of providers capable of consistently securing new GPUs, with CoreWeave and Nebius remaining well positioned to capitalize on what remains a supply constrained market.**

Figure 1: At a high-level, we believe the disconnect between the AI infrastructure ambitions from the major cloud providers and the implied NVIDIA GW system delivery reinforces the scarcity of compute trend, with access to GPUs potentially becoming a risk once again

Cloud Provider	CY27 Capacity Adds	% Allocation to Nvidia	Capacity from Nvidia systems	Assumptions
Meta	7 GW	50%	3.5 GW	Plans to double capacity to 14 GW based on Reuters
SpaceX	6 GW	100%	6.0 GW	Going from 2 GW to close to 10 GW by CY27
Microsoft	3 GW	90%	2.9 GW	Adding 1 GW per quarter, doubling capacity from FY25 to FY27
Oracle	4 GW	100%	4.0 GW	Adding 1 GW per quarter as of last EPS call
Alphabet	4 GW+	50%	2.0 GW	Assume adding at least same capacity as MSFT
Amazon	4 GW+	50%	2.0 GW	Assume adding at least same capacity as MSFT
CoreWeave	1 GW	100%	1.0 GW	Based on BNPP estimate
Nebius	1 GW	100%	0.7 GW	Based on BNPP estimate
Total	30 GW+		22 GW	
NVDA implied GW delivery (assuming \$30bn / GW)			19 GW	Based on consensus of \$566bn FY’28 revenue (BBRG)
% delta			17%	

Source: BNP Paribas Equity Research estimates, Company reports, Reuter

Investment case, valuation and risks

CoreWeave (Outperform, Target Price USD154)

Investment case

CoreWeave is a leading AI infrastructure provider, operating the largest installed GPU fleet amongst neocloud peers. Unlike traditional infrastructure providers, the company has built a differentiated software stack optimized specifically for AI workloads. Combined with deep relationships across AI frontier labs, enterprises, and strategic partners such as NVIDIA, we view CoreWeave as a critical enabler of the AI ecosystem.

Valuation methodology

We value CoreWeave on steady-state economics in 2030, using a 12x FCF multiple (assuming 8 GW of installed capacity at \$15bn / GW), discounted back.

Risks

To the upside:

CoreWeave could see upsized contracts amongst its hyperscaler and AI frontier lab customer base (Meta, Microsoft, OpenAI, and Anthropic) or secure new contracts with other hyperscaler / AI-native vendors.

To the downside:

CoreWeave could face delays in bringing online new capacity, impacting investor confidence in its ability to execute on the infrastructure buildout. Signs of an AI infrastructure overbuild could also impact the company as it lacks internal workloads to effectively utilize (and monetize) excess capacity.

Microsoft (Outperform, Target Price USD549)

Investment case

We see Microsoft as positioned to benefit from a leadership position in technologies with strong secular growth tailwinds, including Cloud Computing and Data Analytics (Azure, Synapse, Fabric), Software Development (GitHub, Visual Studio and the Windows Platform), Productivity (Office), Collaboration (Teams), Enterprise automation (Dynamics and Power Platform), Cyber Security, Advertising (Netflix and OpenAI partnerships, and own services like LinkedIn and Bing), and Gaming (Xbox and Activision). Microsoft is also now leveraging Generative AI across its products, which we believe will drive increased usage and ARPU increases. The company's OpenAI partnership will also likely help drive revenue growth acceleration. We also see Microsoft proactively managing its cost structure, despite accelerating depreciation costs, helping maintain margins at a high level. In addition, the company's communication is amongst the best in Big Tech, providing investors with a clearer understanding of investment priorities and shareholder return visibility.

Valuation methodology

We use a 25x NTM P/E multiple (using ex OpenAI gains and losses earnings) to value Microsoft, based on our FY28 EPS estimates, discounted back, and we also add value for Microsoft's stake in OpenAI.

Risks

To the upside:

Faster than expected uptake for Microsoft's Co-pilot would be a positive catalyst for the stock. Microsoft Azure's growth and market share gain could exceed our expectations, driving higher than expected revenue growth. Similarly, any of Dynamics, Office 365, Gaming, Devices, LinkedIn or Search Advertising could exceed our expectations in a given year or over a multi-year period. Greater market confidence around OpenAI, and OpenAI's ability to raise capital and achieve FCF break-even, would also help confidence.

To the downside:

The inability to meet demand, including difficulty accessing GPUs, may negatively impact Azure growth. The dependency on OpenAI for its GPT model also creates a strategic

risk, while the increased dependence on Generative AI for growth also creates risk as it is still an unproven technology in the enterprise. Cyclical weakness in core businesses, such as Windows, could last longer than expected, weighing on growth and driving valuation pressure. Increasing investor concern around SaaS business models and headcount growth dependence is also a risk. Regulatory risk from competition concerns over hyperscalers' dominance of cloud workloads could also factor. Lastly the need to continuously innovate in a highly competitive market could weigh on long term profitability.

Nebius Group (Neutral, Target Price USD238)

Investment case

Nebius is a one of the newer AI cloud infrastructure entrants or 'neoclouds.' While shares have benefitted from the company's exposure to shorter duration GPU rental contracts, we believe the path forward becomes more complicated as the company embarks on a larger capacity buildout. Longer-term, we still believe Nebius has a credible story in providing a differentiated AI cloud platform stack, even vs. the hyperscalers, as inference tokens expand beyond a handful of leading frontier labs.

Valuation methodology

We value Nebius on a SOTP approach by using 1) a 13.5x FCF on steady-state 2030 free cash flow (assuming 6 GW of installed capacity at \$15bn/GW), discounted back and 2) the value of Nebius' stake in ClickHouse.

Risks

To the upside:

Nebius could secure future deals with hyperscaler and AI lab customers, which would be viewed positively by investors as it guarantees demand over a multi-year timeframe and allows the company to secure additional capacity.

To the downside:

GPU rental pricing could decline, likely disproportionately impacting Nebius shares. Moreover, Nebius could face challenges in bringing online capacity, which introduces execution risk, especially as newer datacenters become larger and more complex.

Oracle Corporation (Outperform, Target Price USD290)

Investment case

As the cloud computing industry transitions from the 'CPU era' to the 'GPU era', we see Oracle as a potential winner in capturing new AI workloads. We expect OCI to continue to benefit from robust demand for GPU compute and its favorable perception as a price/performance leader within the AI ecosystem. Additionally, continued cloud migrations of Oracle's large on-premises installed base can serve as another growth tailwind should AI momentum stall. We believe shares can continue to outperform as confidence grows around the company's revenue and earnings trajectory.

Valuation methodology

We use a target FY28 P/E multiple, discounted back, consistent with our valuation methodology for Oracle's hyperscaler peer set.

Risks

To the upside:

We believe that should Oracle demonstrate accelerating revenue growth, either through the adoption of the company's OCI infrastructure, autonomous database offering, or its cloud ERP offering, the shares will re-rate higher.

To the downside:

We believe that evidence of stalling AI momentum could trigger a de-rating in shares. Lack of progress in improving IaaS gross margins could heighten investor concerns around the ROIC of Oracle's elevated CapEx spend.

ANALYST CERTIFICATION AND IMPORTANT DISCLOSURES

Analyst Certification

I, **Stefan Slowinski**, hereby certify that all of the views expressed in this report accurately reflect my personal view(s) about the company or companies and securities discussed in this report. No part of my compensation was, is, or will be, directly, or indirectly, related to the specific recommendations or views expressed in this research report.

Non-US Research Analyst Disclosure

The research analysts named below were involved in preparing this research report. They are not associated persons of BNP Paribas Securities Corp. and thus they are not registered or qualified in the U.S. as research analysts with the Financial Industry Regulatory Authority (FINRA) or the New York Stock Exchange (NYSE). These non-U.S. analysts are not subject to FINRA Rule 2241 concerning communications with a subject company, public appearances and trading securities held by a research analyst account.

Stefan Slowinski BNP Paribas London
Branch

Research Analyst Compensation

The research analyst(s) responsible for the preparation of this report receive(s) compensation based upon various factors including overall firm revenues, which include revenues from investment banking activities and/or sales and trading activities.

Research Analyst-Specific Disclosures

The table immediately below indicates if the research analyst(s) responsible for the preparation of this report (or members of their household) has/have certain conflicts of interest relating to the subject company/ies.

Company/ies	Relevant Disclosures
/	

1 – The research analyst(s) responsible for the preparation of this report, a member of his/her household or an associate of the research analyst has/have a financial interest in the securities of the subject company/ies indicated in the above table.

2 – The research analyst(s) responsible for the preparation of this report, a member of his/her household or an associate of the research analyst serve(s) as an employee, officer, director, or advisory board member of the subject company/ies indicated in the above table.

3 – The research analyst(s) responsible for the preparation of this report received compensation from the subject company/ies in the past twelve months.

4 – The research analyst(s) responsible for the preparation of this report has a material conflict of interest with respect to the subject company/ies, which has not already been identified under 1, 2 or 3 above.

BNP Paribas-Specific Disclosures

BNP Paribas SA and/or each of its relevant branches and affiliates including, without limitation, TEB Yatirim Menkul Degerler ("TEB Investment") and/or BNP Paribas Securities Corp. (collectively, and/or, individually, "BNPP" or "BNP Paribas"), has relationships with many companies. The numbered disclosures below identify relationships that BNPP has with the subject company/ies that must be disclosed under applicable rules.

Company/ies	Ticker/s	Relevant Disclosures
Alphabet A	GOOGL US	2; 3; 4; 6; 7; 8- BNP Paribas Securities Corp serves as Passive Joint Bookrunner on a SEC Registered offerings (100% primary) for Alphabet, Inc NASDAQ:GOOG, GOOGL consisting of depositary shares representing mandatory convertible preferred stock, and Class A Common Stock and Class C Capital Stock that announced to the market on June 1, 2026.; 10
Amazon	AMZN US	2; 3; 4; 6; 7; 8; 10
AMD	AMD US	2; 3; 4; 6; 7; 8; 10
Meta Platforms Inc	META US	2; 3; 4; 6; 8
Microsoft	MSFT US	2; 3; 4; 6; 7; 8; 9; 10
Nebius Group	NBIS US	11- Net short position
Nvidia	NVDA US	6
Oracle Corporation	ORCL US	2; 3; 4; 7; 8- BNP Paribas Securities Corp. serves as Passive Bookrunner on a SEC Registered convertible bond offering out of Oracle Corporation NYSE:ORCL that announced to the market on February 2, 2026. BNPP Securities Corp is acting as Sales Agent for an "At-the-Market" of Common Shares of Oracle Corp (NYSE: ORCL); 9; 10

- 1 – BNPP beneficially owns 1% or more of a class of common equity securities of the subject company/ies.
- 2 – BNPP managed or co-managed an offering of securities for the subject company/ies in the past 12 months.
- 3 – BNPP received compensation for investment banking services from the subject company/ies in the past 12 months.
- 4 – BNPP expects to receive or intends to seek compensation for investment banking services from the subject company/ies in the next 3 months.
- 5 – BNPP has entered into a contract with the subject company/ies to provide liquidity in its/their securities.
- 6 – BNPP is a market maker in the securities of the subject company/ies.
- 7 – BNPP received compensation for products and services other than investment banking services from the subject company/ies in the past 12 months.
- 8 – BNPP has or had an investment banking client relationship with the subject company/ies in the last 12 months.
- 9 – BNPP has or had a non-investment banking securities services client relationship with the subject company/ies in the last 12 months.
- 10 – BNPP has or had a non-securities services client relationship with the subject company/ies in the last 12 months.
- 11 – BNPP beneficially owns a net long or short position of more than 0.5% of the total issued share capital of the subject company/ies.
- 12 – BNPP is party to an agreement with the issuer relating to the production of the recommendation.
- 13 – Sections of this report, with the research summary, target price and rating removed, have been presented to the subject company/ies prior to its distribution, for the sole purpose of verifying the accuracy of factual statements.
- 14 – Following the presentation of sections of this report to the subject company/ies, some conclusions were amended.
- 15 – A member of BNPP Equity Research is an officer or a member of the Board of the subject company/ies.
- 16 – The subject company/ies hold(s) more than 5% of the total issued share capital of BNPP.
- 17 – BNP Paribas Securities (China) Limited owns 1% or more of the outstanding shares issued by the subject company.

Explanation of Research Ratings

Rating System

Our coverage analysts use a rating system in which they rate stocks as Outperform, Neutral, or Underperform (as defined below) relative to other companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Outperform (O/P): The stock is expected to outperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Neutral: The stock is expected to perform in line with the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Underperform (U/P): The stock is expected to underperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Under review: The rating of the stock has been placed under review after significant news. Any possible change will be confirmed as soon as possible in the form of a new broadly disseminated report.

Restricted (RS): The stock is covered by BNPP but there is no Rating and no Target Price because BNPP is involved in an equity capital market/ merger and acquisition transaction relating to the subject company.

Not Rated (NR): The stock is covered by BNPP but there is no Rating and no Target Price at this time.

Not Covered (NC): BNPP does not cover this company.

As of 23 September 2024, TEB Investment has changed the recommendation rating structure for Turkish stock coverage from Buy, Hold and Reduce to Outperform, Neutral and Underperform. Ratings and target prices for dates prior to 23 September 2024 used an absolute rating structure whereby the upside or downside to target price relative to the current share price determined the recommendation. TEB Investment now uses a relative recommendation structure whereby the applied rating is based on the stock's expected performance as compared to the average total return of all companies covered by the analyst or the analyst's team in Turkish stock coverage over a 12-month investment horizon. TEB Investment research reports with ratings and target prices for dates prior to 11 August 2025 were prepared and distributed without involvement of a FINRA member firm.

ESG Rating Explanation and Methodology

ESG integration methodology: The BNP Paribas approach offers an alternative to mechanistic ESG scores and leverages the in-depth knowledge of our industry equity research teams by combining quantitative and qualitative factors. There are three steps to our framework; firstly, our teams build a materiality map to assess which ESG topics are most relevant to their respective industries. Secondly, for the chosen topics, companies are assessed relative to sector peers. The assessment can be based on metrics and qualitative judgements. Each company is given a one to five score per topic, with five being the best. Thirdly, based on the topic scores, and any other significant ESG factors, we identify companies in the sector as ESG Leaders, ESG Laggards or ESG Average. The definition of the ratings is shown below; they are not based on the average topic score as some topic scores can be more material than others.

ESG Leader: Relative to sector peers an ESG Leader is better positioned on the chosen ESG topics, or other relevant ESG considerations.

ESG Average: A company rated as ESG Average may have strong or poor performance on an individual ESG topic, but overall has an average exposure to ESG risks and opportunities.

ESG Laggard: Relative to sector peers an ESG Laggard is poorly positioned on the chosen ESG topics, or other relevant ESG considerations for the stock.

Distribution of BNP Paribas' Equity Recommendations

As at 28 May 2026 BNP Paribas covered 1377 companies. The companies that, for regulatory reasons, are not accorded a rating by BNPP are excluded from these statistics. For regulatory reasons, our ratings of Outperform, Neutral and Underperform correspond respectively to Buy, Hold and Sell; the underlying signification is, however, different as our ratings are relative to the sector.

Ratings	Stocks coverage		Investment Banking Services Within the previous 12 months	
	Counts	%*	Counts	%
Outperform (Buy)	698	51	168	24
Neutral (Hold)	485	35	107	22
Underperform (Sell)	194	14	39	20

* Please note that the percentages might not add up to 100% because of rounding.

BNP Paribas Financing and Investment Policies

Sustainability is core to BNP Paribas' company purpose: "we are engaged with our clients to create a better future".

In line with the United Nations Sustainable Development Goals, the BNP Paribas Group has thus pledged to act as a catalyst in the energy transition, and to contribute to a responsible and sustainable economy. As a bank, we are required to finance a number of industries, some of which can pose major environmental, social and governance (ESG) challenges. That's why, since 2010, BNP Paribas has adopted and regularly reviewed sector policies laying down strict ESG criteria meant to govern our financing and investments in these sensitive areas. They aim to support our customers in their transitions towards sustainable practices. For more details, please refer to: Financing and investment policies - BNP Paribas (<https://group.bnpparibas/en/our-commitments/transitions/financing-and-investment-policies>).

For policies for managing conflicts of interest in relation to investment research, go to [COI_investment_research.pdf \(cib.bnpparibas\)](#).

The company-specific disclosures, history of recommendations, valuation methodologies and investment case risks for companies covered by this report are available on <https://cube.cib.bnpparibas/slink/sk6EkeAoqzJ3cGf8>.

For material information about the proprietary models used, please see summary of financials in company-specific research reports and the relevant company page on <http://cube.cib.bnpparibas>.

BNP Paribas does not set a predetermined frequency for publication and intends to update research reports as it deems appropriate, based on developments affecting the subject company, the sector or the market.

Legal Entity/ies Responsible for the Production of Research

This report is produced by the publishing entity/ies identified on the cover page which is/are member company/ies of the BNPP group of companies. Please refer to the Legal Entity Disclosures and Country-/Regional-Specific Disclosures for their relevant competent authority/ies.

Legal Entity Disclosures and Country-/Region-Specific Disclosures

Abu Dhabi Global Market (ADGM): This report constitutes an Exempt Communication or is not otherwise subject to the financial promotion restriction in accordance with the Financial Services and Markets Regulation of the ADGM. It is intended for distribution only to persons of a type specified in that regulation. It must not be delivered to, or relied on by, any other person. The Financial Services Regulatory Authority (FSRA) does not accept any responsibility for the content of the information included in this report, including the accuracy or completeness of such information. The FSRA has also not assessed the suitability of the products or services to which this report relates to any particular investor or type of investor. If you do not understand the contents of this report or are unsure whether the products or services to which this report relates are suitable for your individual investment objectives and circumstances, you should consult an authorised financial adviser.

Australia: This report is being distributed in Australia by BNP Paribas, acting through its Australia Branch, registered in Australia as ABN 23 000 000 117 at 60 Castlereagh Street Sydney NSW 2000. BNP Paribas, acting through its Australia Branch is licensed under the Banking Act 1959 and the holder of Australian Financial Services Licence no. 238043 and therefore subject to regulation by the Australian Securities & Investments Commission in relation to delivery of financial services. By accepting this document, you agree to be bound by the foregoing limitations, and acknowledge that information and opinions in this document relate to financial products or financial services which are delivered solely to wholesale clients (in terms of the Corporations Act 2001, sections 761G and 761GA; Corporations Regulations 2001, division 2, reg. 7.1.18 & 7.1.19) and/or professional investors (as defined in section 9 of the Corporations Act 2001). BNP Paribas Securities (Asia) Limited provides financial services in Australia in reliance on the relief under Australian Securities & Investment Commission Corporations (Amendment) Instrument 2022/623. BNPP Sec (Asia) Limited is exempt from the requirement to hold an Australian Financial Services Licence; and is regulated by the Securities and Futures Commission under Hong Kong laws, which differ from Australian laws.

Bahrain: This report is being distributed in Bahrain by BNP Paribas Conventional Wholesale Bank Bahrain, a branch of BNP Paribas S.A. whose head office is in Paris, France (Registered Office: 16 boulevard des Italiens, 75009 Paris, France). BNP Paribas Conventional Wholesale Bank Bahrain is licensed and regulated as a Registered Institution by the Central Bank of Bahrain. This report does not, nor is it intended to, constitute an offer to issue, sell or acquire, or solicit an offer to sell or acquire any securities or to enter into any transaction. The Central Bank of Bahrain assumes no responsibility for the accuracy and completeness of the statements and information contained in this report and expressly disclaims any liability whatsoever for any loss howsoever arising from reliance upon the whole or any part of the contents of this report.

China: BNP Paribas Securities (China) Limited is a qualified securities investment consultancy firm registered with the China Securities Regulatory Commission.

European Economic Area (EEA): This report is being distributed in the EEA by BNP Paribas S.A. ("BNPP SA") and/or BNP Paribas Financial Markets SNC. BNPP SA is incorporated in France with limited liability (Registered Office: 16 boulevard des Italiens, 75009 Paris, France, 662 042 449 RCS Paris, www.bnpparibas.com). BNPP SA is authorised and supervised by the European Central Bank ("ECB") and by the Autorité de Contrôle Prudentiel et de Résolution ("ACPR") in respect of supervision for which the competence remains at national level, in terms of Council Regulation n° 1024/2013 of 15 October 2013 conferring specific tasks on the ECB concerning policies relating to the prudential supervision of credit institutions. BNPP SA is authorised and regulated by the Prudential Regulation Authority and by the Autorité des Marchés Financiers ("AMF") in France. BNP Paribas Financial Markets SNC is an unlimited liability company, whose registered office is 160/162 boulevard Macdonald 75019 Paris, registered with the Paris Trade and Companies Registry under number 394 895 833. It is authorised and supervised by the ACPR and the AMF in France. This report is intended for distribution in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions.

Hong Kong: This report is prepared for professional investors and is being distributed in Hong Kong by BNP Paribas Securities (Asia) Limited. BNP Paribas Securities (Asia) Limited, a subsidiary of BNP Paribas, is regulated by the Hong Kong Securities and Futures Commission for the conduct of dealing in securities, advising on securities, dealing in futures contracts and advising on corporate finance. BNP Paribas Securities (Asia) Limited accepts full responsibility for the contents of this report. For professional investors in Hong Kong, please contact BNP Paribas Securities (Asia) Limited (address: 63/F Two International Finance Centre, 8 Finance Street, Central, Hong Kong; tel:2909 8888; fax: 2845 2232) for all matters and queries relating to this report.

India: In India, this report is being distributed by BNP Paribas Securities India Private Limited ("SIPL"), having its registered office at 8th floor, 1 North Avenue, Maker Maxity, Bandra Kurla Complex, Bandra (East), Mumbai 400 051, INDIA (Tel. no. +91 22 4672 4000 / 6196 4000, Fax no. +91 22 6196 4363). SIPL is registered with the Securities and Exchange Board of India ("SEBI") as a research issuing entity; and as a stockbroker in the Equities and the Futures & Options segments of the National Stock Exchange of India Limited ("NSE") and BSE Limited and in the Currency Derivatives segment of NSE (SEBI regn. nos.: INZ000161834, INH000000792; CIN: U74920MH2008FTC182807; Website: [SIPL webpage](http://SIPL.webpage)). Compliance Officer: Karen Claude D'Souza, Tel: +91 22 6196 4000, E-mail: karen.dsouza@asia.bnpparibas.com. Registration granted by SEBI and certification from National Institute of Securities Market in no way guarantee performance of the research issuing entity or provide any assurance of returns to investors. No material disciplinary action has been taken against SIPL by any regulatory or government authority. SIPL or its associates may have received compensation or other benefits for brokerage services or for other products or services, from the company/ies that has/have been rated and/or recommended in the report and/or from third parties. SIPL or its associates may have debt holdings in the subject company/ies. Please refer to the disclosures on the [SIPL webpage](http://SIPL.webpage). Please also refer to the terms and conditions and additional [research related local regulatory disclosures](#) on our webpage.

Indonesia: This report is being distributed to Indonesia-based clients by the publishing entity/ies shown on the front page of this report. Neither this report nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens except in compliance with applicable Indonesian capital market laws and regulations. This report is not an offer of securities in Indonesia and may not be distributed within the territory of the Republic of Indonesia or to Indonesian citizens in circumstances which constitute an offering within the meaning of Indonesian capital market laws and regulations.

Israel: BNP Paribas is not licensed under Israel's Regulation of Investment Advising, Investment Marketing and Portfolio Management Law, 5755-1995 (the "Advice Law") and does not carry insurance pursuant to the Advice Law. This report is only intended for those categories of Israeli residents who are qualified clients listed on the First Addendum to the Advice Law.

Japan: This report is being distributed in Japan by BNP Paribas and/or a branch, subsidiary or affiliate of BNP Paribas that is not registered as a financial instruments firm in Japan. This report is provided for information purposes only and it is not intended to solicit any orders for securities transactions. While we believe that the data and information contained in this report is obtained from reliable sources, we do not guarantee the accuracy or completeness of such data and information.

Jersey: An investment in the securities that are the subject of this report is only suitable for sophisticated investors who understand the risks involved in acquiring such an investment. Neither BNP Paribas nor the activities of any functionary with regard to this report are subject to all the provisions of the Financial Services (Jersey) Law 1998.

Kingdom of Saudi Arabia: This report may not be distributed in the Kingdom except to such persons as are permitted under the Rules on the Offer of Securities and Continuing Obligations issued by the Capital Market Authority. The Capital Market Authority does not make any representation as to the accuracy or completeness of this report, and expressly disclaims any liability whatsoever for any loss arising from, or incurred in reliance upon, any part of this report. Prospective purchasers of securities in the company/ies that are the subject of this report should conduct their own due diligence on the accuracy of the information herein relating to the subject company/ies. If you do not understand the contents of this report, you should consult an authorised financial advisor.

New Zealand: BNP Paribas SA is not a registered bank in New Zealand and does not have a place of business in New Zealand. This report is directed only to wholesale investors/clients (as defined in the Financial Markets Conduct Act 2013) and is not intended for retail investors/clients. By accepting this document you agree to be bound by the foregoing limitations, and acknowledge that information and opinions in this document relate to financial products or financial services which are delivered solely to wholesale clients. This report is being distributed in New Zealand by BNP Paribas, acting through its Australia Branch, registered in Australia as ABN 23 000 000 117 at 60 Castlereagh Street Sydney NSW 2000. BNP Paribas, acting through its Australia Branch is licensed under the Banking Act 1959 and the holder of Australian Financial Services Licence no. 238043.

Oman: BNP Paribas neither has a registered business presence nor a representative office in Oman and does not undertake banking business or provide financial services in Oman. Consequently BNP Paribas is not regulated by either the Central Bank of Oman or Oman's Financial Services Authority. No authorization, licence or approval has been received by BNP Paribas from the Financial Services Authority or any other regulatory authority in Oman, to provide such advice or service within Oman. BNP Paribas does not solicit business in Oman and does not market, offer, sell or distribute any financial or investment products or services in Oman and no subscription to any securities, products or financial services may or will be consummated within Oman. The recipient of this material represents that he/she is a sophisticated investor (as described in Article 139 of the Executive Regulations of the Capital Market Law) and has such experience in business and financial matters that he/ she is capable of evaluating the merits and risks of investments. The investor acknowledges that an investment in securities is speculative and involves a high degree of risk.

Qatar: This report is not intended to constitute an offer or provision of Advisory, M&A and Research services under the laws of Qatar. This report has not been and will not be authorised by any regulator in the State of Qatar, including the Qatar Financial Markets Authority, the Qatar Financial Centre Regulatory Authority or the Qatar Central Bank in accordance with their regulations or any other regulations in Qatar. In addition, this report is not intended to constitute an offer, sale or delivery of financial products under the laws of Qatar. Securities in the company/ies that is/are the subject of this report have not been and will not be authorised by any regulator in the State of Qatar, including the Qatar Financial Markets Authority, the Qatar Financial Centre Regulatory Authority or the Qatar Central Bank in accordance with their regulations or any other regulations in Qatar. Securities in the company/ies that is/are the subject of this report are not and will not be traded on the Qatar Stock Exchange.

Singapore: This report is being distributed in Singapore by BNP Paribas, acting through its Singapore Branch, and may be distributed in Singapore only to an Accredited or Institutional Investor, each as defined under the Financial Advisers Regulations ("FAR") and the Securities and Futures Act 2001 of Singapore, as amended from time to time. In relation to the distribution to such categories of investors, BNP Paribas, acting through its Singapore Branch, and its representatives are exempted under Regulation 35 of the FAR from the requirements in Section 45 of the Financial Advisers Act 2001 of Singapore, regarding the disclosure of certain interests in, or certain interests in the acquisition or disposal of, securities, securities-based derivatives contracts or units in a collective investment scheme, referred to in this report. For Institutional and Accredited Investors in Singapore, please contact BNP Paribas, acting through its Singapore Branch (company registration number: S71FC2142G; address: 10 Collyer Quay, 34/F Ocean Financial Centre, Singapore 049315; tel: (65) 6210 1288; fax: (65) 6210 1980) for all matters and queries relating to this report.

South Africa: BNPP is a bank incorporated in France with a local branch registered with the South African Reserve Bank and registered as an external company in terms of the South African Companies Act, 2008. BNPP is an authorised Financial Services Provider (FSP 44610) and subject to regulation by the Financial Services Board and South African Reserve Bank. It is also a licensed member of the Johannesburg Stock Exchange. BNPP does not expressly or by implication represent, recommend or propose that the information and/or financial products referred to in this report are appropriate to the particular investment objectives, financial situation or particular needs of the recipient. This document further does not constitute advice (whether financial, legal, tax or otherwise) as contemplated in the Financial Advisory and Intermediary Services Act, 2002.

South Korea: This report does not constitute an offer to sell to or the solicitation of an offer to buy from any person any financial products in the Republic of Korea ("Korea"). The distribution of this report in Korea or to residents of Korea is not and shall not be construed as provision of investment advice in Korea. This report is not directed to, or intended for distribution to or use by, any person or entity in Korea where such distribution, publication, availability or use would be contrary to laws or regulations of Korea.

Switzerland: This report is intended solely for customers who are "Qualified Investors" as defined in article 10 paragraphs 3 and 4 of the Federal Act on Collective Investment Schemes of 23 June 2006 and the relevant provisions of the Federal Ordinance on Collective Investment Schemes of 22 November 2006. "Qualified Investors" includes, among others, regulated financial intermediaries such as banks, securities traders, fund management companies and asset managers of collective investment schemes, regulated insurance institutions as well as pension funds and companies with professional treasury operations. This report may not be suitable for customers who are not Qualified Investors and should only be used and passed on to Qualified Investors. For specification purposes, a "Swiss Corporate Customer" is a client which is a corporate entity, incorporated and existing under the laws of Switzerland and which qualifies as a "Qualified Investor" as defined above." BNP Paribas (Suisse) S.A. is authorised as a bank and as a securities dealer by the Swiss Financial Market Supervisory Authority. This report is being distributed in Switzerland by BNP Paribas (Suisse) S.A., registered at the Geneva commercial register under No. CHE-102.922.193. BNP Paribas (Suisse) S.A. is incorporated in Switzerland with limited liability. Registered Office: 2, place de Hollande, 1204 Geneva, Switzerland.

Taiwan: This report is being distributed to Taiwan-based clients by BNP Paribas Securities (Taiwan) Co., Ltd or by a subsidiary or affiliate of BNP Paribas. The information is being distributed to professional investors and for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decision. Information on securities that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities. BNP Paribas Securities (Taiwan) Co., Ltd. may not execute transactions for clients in these securities. This publication may not be distributed to the public media or quoted or used by the public media without the express written consent of BNP Paribas. The recipient(s) should not provide the reports to others, including but not limited to related parties, affiliated companies and any other third parties, or engage in any activities in connection with the reports which may involve conflicts of interests.

Türkiye: This report is being distributed in Türkiye by TEB Yatırım (TEB YATIRIM MENKUL DEĞERLER A.Ş., İnkılap Mahallesi Sokullu Caddesi No:7B Ümraniye 34768, İstanbul, Türkiye, trade register number: 358354, www.tebyatirim.com.tr). All kinds of investment services and activities including this research report obtained by persons residing in Türkiye, including investment firms, on their own initiative, from financial institutions residing abroad, and accounts opened at such institutions, and cash and other assets transferred to such accounts, and transactions fulfilled on these accounts are out of the scope of the COMMUNIQUÉ ON PRINCIPLES REGARDING INVESTMENT SERVICES, ACTIVITIES AND ANCILLARY SERVICES (III-37.1), provided that activities such as promotion, advertisement and marketing are not intended for persons residing in Türkiye. For the purposes of the application of the preceding paragraph, any cases such as opening a workplace in Türkiye, creation of a web site in Turkish, and intending advertisement and marketing activities directly and/or through persons or institutions residing in Türkiye with respect to investment services provided by the institutions residing abroad, shall be deemed to be intended for the persons residing in Türkiye, and relevant provisions of the legislation shall apply. Additional criteria on determination as to whether the activities are intended for persons residing in Türkiye shall be determined by the Capital Markets Board of Türkiye. BNP Paribas S.A. and TEB Yatırım may engage in providing such services (including the distribution of this report) locally with in the condition that parties should sign an agreement including the services to be provided and terms and conditions of the services and obtain required permissions from local regulators if necessary. Otherwise, all such activities by BNP Paribas S.A. should be on a "reverse inquiry" basis.

United Arab Emirates (excluding the Dubai International Financial Centre (DIFC) and the Abu Dhabi Global Market (ADGM): In accordance with Decision No (13/R.M) of 2021 on the Financial Activities Rulebook and Mechanisms of Adjustment of the Securities and Commodities Authority (SCA), as amended (the SCA Rulebook), the securities to which this document relates may only be promoted in the UAE (excluding the DIFC and ADGM) as follows: without the prior approval of SCA, only in so far as the promotion is directed to: a person who meets the definition of a "professional investor" under the SCA Rulebook; or (ii) following a 'reverse' (i.e., unsolicited) enquiry by an investor. Further, this report does not constitute a public offer of securities in the United Arab Emirates (including the DIFC and the ADGM) and is not intended to be a public offer. The SCA has not verified the report or other documents in connection with the securities that are discussed therein. Accordingly, the SCA has not approved this report or any other associated documents nor taken any steps to verify the information set out in this report. The SCA may not be held liable for the accuracy or completeness of the information in the report. The securities to which this report relates may be illiquid or subject to restrictions on their resale. Prospective investors should conduct their own due diligence on the such securities. If you do not understand the contents of this report you should consult an authorised financial advisor.

United Kingdom: In the UK, this report is being distributed by BNP Paribas London Branch, 10 Harewood Avenue, London NW1 6AA; tel: +44 20 7595 2000; fax: +44 20 7595 2555- www.bnpparibas.com. Incorporated in France with Limited Liability. Registered Office: 16 boulevard des Italiens, 75009 Paris, France. 662 042 449 RCS Paris. BNP Paribas is authorised and regulated by the European Central Bank and the Autorité de contrôle prudentiel et de résolution. BNP Paribas is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. Details about the extent of our regulation by the Prudential Regulation Authority are available from us on request. BNP Paribas London Branch is registered in the UK under number FC13447. UK establishment number: BR000170. UK establishment office address: 10 Harewood Avenue, London NW1 6AA. This report is intended for distribution to, and is directed at: (a) persons in the UK having professional experience in matters relating to investments and who fall within the definition of "investment professionals" in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order"); or (b) high net worth companies, unincorporated associations and partnerships and trustees of high value trusts as described in Article 49(2) of the Order; or (c) other persons to whom it may otherwise be communicated lawfully (all such persons being "Relevant Persons"). Any investment or investment activity to which this communication relates is only available to and will only be engaged in with Relevant Persons. Any other persons who receive this communication should not rely on or act upon it.

United States and Canada: BNP Paribas Securities Corp. is registered and regulated by the Financial Industry Regulatory Authority ("FINRA") (CRD# 15794) and the U.S. Securities and Exchange Commission. BNP Paribas Securities Corp is a FINRA member firm and broker-dealer registered with U.S. Securities Exchange Commission. With respect to any United States persons who are institutional investors BNP Paribas Securities Corp. is the distributor of this research report. This report is not intended for retail investors. Any United States person wishing to obtain further information or to effect a transaction in any security discussed in this report should do so only through BNP Paribas Securities Corp., which has distributed this report in the United States and, subject to the above, accepts responsibility for its contents. With respect to clients domiciled in Canada, BNP Paribas Securities Corp. is the distributor of this research report operating under the "general adviser exemption" or the "international dealer exemption". BNP Paribas Securities Corp. does not distribute this research report in any other jurisdictions.

Other Jurisdictions: The distribution of this report in other jurisdictions or to residents of other jurisdictions may also be restricted by law, and persons into whose possession this report comes should inform themselves about, and observe, any such restrictions. By accepting this report you agree to be bound by the foregoing instructions. This report is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation.

General Information

This report including embedded research reports is for the use of intended recipients only and may not be reproduced (in whole or in part) or delivered or transmitted to any other person without our prior written consent. By accepting this report, the recipient agrees to be bound by the terms and limitations set forth herein. This report does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual recipients. Recipients are advised to use the information contained herein as just one of many inputs and considerations prior to engaging in any trading activity and to seek advice from a financial advisor, taking into account their specific investment objectives, financial situation or particular needs, prior to committing to purchase any investment product. This report does not constitute a prospectus or other offering document or an offer or solicitation to buy or sell any securities or other investments. This report is not intended to provide the sole basis of any evaluation of the subject securities and companies mentioned in this report. Information and opinions contained in this report are published for reference of the recipients and are not to be relied upon as authoritative or without the recipient's own independent verification, or taken in substitution for the exercise of judgment by the recipient. Additionally, the products mentioned in this report may not be available for sale in certain jurisdictions.

All information contained in this research report and any embedded reports has been compiled from sources believed to be reliable. However, no representation or warranty, express or implied, is made with respect to the completeness or accuracy of its contents, and it is not to be relied upon as such. Opinions contained in this research report represent BNPP's current opinions on the date of the report only. BNPP is not soliciting an action based upon it, and under no circumstances is it to be used or considered as an offer to sell, or a solicitation of any offer to buy.

While BNPP endeavours to update its research reports from time to time, there may be legal and/or other reasons why BNPP cannot do so and, accordingly, BNPP disclaims any obligation to do so.

BNPP does, and seeks to do, business with companies covered in its research reports, and expects to receive or intends to seek compensation from such companies. Investors should be aware that BNPP may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. In the normal course of its business, BNPP, as well as its directors, officers and affiliates may have financial or other interests in securities issued by the subject company/ies or the subject company itself that may include ownership of such securities (including derivatives in respect of such securities on market terms), commissions or other compensation in connection with trades in such securities, and financial arrangements in respect of such securities including with underwriters or other persons or companies with interests in such securities.

This report is provided solely for the information of professional/wholesale investors who are expected to make their own investment decisions without undue reliance on this report and BNPP accepts no liability whatsoever for any direct or consequential loss arising from any use of this report or its contents.

Investing in non-U.S. securities, including the ADRs of such securities, may involve certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on non-U.S. securities. Non-U.S. companies are generally not subject to uniform audit and reporting standards, practices, and requirements comparable to those in the U.S. The securities of some non-U.S. companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a non-U.S. stock and its corresponding dividend payment for U.S. investors. If a financial instrument is denominated in a currency other than the investor's home currency, a change in exchange rates may adversely affect the price of, value of, or income derived from the financial instrument described in this report. In addition, investors in securities such as ADRs, whose values are affected by the currency of the underlying security, effectively assume currency risk.

As an investment bank with a wide range of activities, BNPP may face conflicts of interest, which are managed under applicable legal provisions and internal policies and guidelines. You should be aware that BNPP may engage in transactions in a manner inconsistent with the views expressed in this document, either for its own account or for the account of its clients.

Other businesses within BNPP may have issued other publications that may or may not be consistent with the views expressed in this report.

In the normal course of its business, BNPP as well as its directors, officers and affiliates may have financial or other interests in securities issued by the subject company/ies or the subject company itself that may include ownership of such securities (including derivatives in respect of such securities on market terms), commissions or other compensation in connection with trades in such securities, and financial arrangements in respect of such securities including with underwriters or other persons or companies with interests in such securities.

BNP Paribas may use AI Tools to assist in the preparation of reports and/or other materials. Notwithstanding any such use of AI Tools, all presented forecasts and recommendations are made by the BNP Paribas personnel identified in the relevant report. For the avoidance of doubt, you are not permitted to use AI Tools that have not been provided by or made available by BNP Paribas in connection with this document or the information herein, without our express prior written consent. For the purposes of this section, "AI Tools" means machine-based systems designed to operate with varying levels of autonomy and that may exhibit adaptiveness after deployment and that, for explicit or implicit objectives, infer, from the input they receive, how to generate outputs such as predictions, content, recommendations, or decisions that can influence physical or virtual environments.

All research reports are disseminated and available to all clients simultaneously on our website: <https://cube.cib.bnpparibas>. For additional disclosures, rating and target price history, stock price charts, valuation and risk applicable to the subject company/ies, go to our website: <https://cube.cib.bnpparibas>, or contact the relevant BNPP research team, author(s) of this report or your BNPP representative.

Should you require additional information concerning this report please contact the relevant BNP Paribas research team or the author(s) of this report.

© 2026 BNP Paribas Group

